ACCRUAL BASIS

An accounting method which considers revenues and expenses as they accrue, even though cash would not have been received or paid during the period of accrual.

ACTIVITY RATE

The labour force of a country is known as the activity rate or *participation rate*. It is in per cent and always a proportion of the total population of the country–the economically active population. This rate varies from one country to another depending upon several factors such as school leaving age, retirement age, popularity of higher education, social customs, opportunities, etc.

ADRs

ADR stands for American Depository Receipt, which enables investors based in the USA to invest in stocks of non-US companies trading on a non the US stock exchange. ADRs are denominated in dollars. Simply put, US brokers purchase shares of a foreign company, say Infosys (on behalf of their clients). ADRs are subsequently listed on US stock exchanges.

ADRs can be sponsored or unsponsored. Sponsored ADRs are those in which the company actively participates in the process. Sponsored ADRs can be Level I, Level II or Level III. There are also what are called Rule 144A. The ADRs were first offered in the US in the 1920s. A number of Indian companies have issued ADRs. Infosys Technologies was the *first* Indian company to use the ADR route.

The terms *ADR* and *ADS* are often used interchangeably. The individual shares representeted by an ADR are called American Depositary Shares (ADS).